

Stay in Resolution

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Application and Definitions

1.1

This Part applies to a _BRRD undertaking_ which is:

1. (1) a _CRR firm_ ;
2. (2) a _financial holding company_ whose registered office or, if the _financial holding company_ does not have a registered office, whose head office is in the _United Kingdom_ ; or
3. (3) a _mixed financial holding company_ whose registered office or, if the _mixed financial holding company_ does not have a registered office, whose head office is in the _United Kingdom_ .

1.2

A _BRRD undertaking_ that is a _parent undertaking_ must ensure that a _subsidiary_ which meets the condition in 1.3 complies with the requirements of this Part as if it were a _BRRD undertaking_ subject to those requirements.

1.3

The condition in 1.2 is that the _subsidiary_ is:

1. (1) a _credit institution_ ;
2. (2) an _investment firm_ or an _undertaking_ which would be an _investment firm_ if it had its head office in the _UK_ ; or
3. (3) a _financial institution_ ; and

is not a _BRRD undertaking_ which falls within 1.1.

1.4

In this Part, the following definitions shall apply:

crisis management measure

has the meaning given in section 48Z(1) of the Banking Act 2009.

crisis prevention measure

has the meaning given in section 48Z(1) of the Banking Act 2009.

excluded person

means:

1. (a) a person who has been declared to be, or who is an operator of, a designated system under regulation 4 of the Financial Markets and Insolvency (Settlement Finality) Regulations 1999,
2. (b) [deleted.]
3. (c) an exchange, other trading facility, payment system, settlement system or other financial market utility or infrastructure established in a _third country_ not within (a),
4. (d) a _central counterparty_,
5. (e) a _central bank_, or
6. (f) a central government (including any agency or branch of a central government).

financial arrangement

means the following contracts and agreements:

1. (a) financial contracts as defined in point 100 (a) to (d) of Article 2(1) of the _BRRD_ ;
2. (b) a derivative as defined in Article 2(5) of Regulation (EU) No 648/2012 of the European Parliament and of the Council of 4th July 2012 on OTC derivatives, central counterparties and trade repositories; and
3. (c) a master agreement in so far as it relates to:
 1. (i) any of the contracts or agreements referred to in points (a) and (b); or
 2. (ii) a contract for the sale, purchase or delivery of the currency of the _UK_ or any other country, territory or monetary union.

group

has the meaning given in section 48Z(1) of the Banking Act 2009.

recognised third-country resolution action

has the meaning given in section 48Z(1) of the Banking Act 2009.

security interest

has the meaning given in section 70B(7) of the Banking Act 2009.

Special Resolution Regime

means the provisions of Part I of the Banking Act 2009 and any measure taken under that Part.

termination right

means the following rights and provisions:

1. (a) a ?termination right? as defined in section 70C(10) of the Banking Act 2009; and
2. (b) a ?default event provision? as defined in Section 48Z(1) of the Banking Act 2009 that would apply as a consequence of:
 1. (i) a _crisis prevention measure_, _crisis management measure_ or _recognised third-country resolution action_ or
 2. (ii) the occurrence of any event directly linked to the application of such a measure or action.

third-country law financial arrangement

means a _financial arrangement_ which:

1. (a) is governed by the law of a _third country_, and
2. (b) contains a termination right or a _security interest_, the exercise or enforcement of which could be suspended or

prevented or the application of which would be disregarded under the _Special Resolution Regime_ if the _financial arrangement_ were governed by the laws of any part of the _United Kingdom_.

transferable securities

has the meaning given in point (44) of Article 41(1) of Directive 2014/65/EU of the European Parliament and of the Council of 15 May 2014 on markets in financial instruments.

1.5

For the purposes of this Part, any reference to securities in point 100 (a) to (d) of Article 2(1) of the _BRRD_ has the same meaning as _transferable securities_.

1.6

Unless otherwise defined, any italicised expression used in this Part and in the _CRR_ has the same meaning as in the _CRR_.

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Stay in Resolution

2.1

Subject to 2.2, a _BRRD undertaking_ must not create a new obligation or materially amend an existing obligation under a _third-country law financial arrangement_ unless the _third-country law financial arrangement_ is solely with an _excluded person_.

2.2

A _BRRD undertaking_ may create a new obligation or materially amend an existing obligation under a _third-country law financial arrangement_ where each counterparty to the _third-country law financial arrangement_, other than a counterparty which is an _excluded person_, agrees in an enforceable manner that if:

1. (1) a _crisis prevention measure_;
2. (2) _crisis management measure_; or
3. (3) _recognised third-country resolution action_

is taken in relation to the _BRRD undertaking_ or any member of the same _group_ as the _BRRD undertaking_, it shall be entitled to exercise _termination rights_ under, or rights to enforce a _security interest_ in connection with, the _third-country law financial arrangement_ to the extent that it would be entitled to do so under the _Special Resolution Regime_ if the _third-country law financial arrangement_ were governed by the laws of any part of the _United Kingdom_.

2.3

For the purpose of 2.2, section 48Z of the Banking Act 2009 is to be disregarded to the extent that it relates to a _crisis prevention measure_ other than the making of a mandatory reduction instrument by the Bank of England under section 6B of the Banking Act 2009.

3

Transitional Provisions

3.1

From 1 June 2016 this Part applies in relation to a _third-country law financial arrangement_ under 2.1 where a direct or indirect counterparty is:

1. (1) a _credit institution_ ;
2. (2) an _investment firm_ ; or
3. (3) an _undertaking_ which would be an _investment firm_ if it had its head office in the _UK_.

3.2

From 1 January 2017 this Part applies in relation to all _third-country law financial arrangements_ under 2.1 other than those to which the sole counterparty is an _excluded person_.